Category
Company Analysis: Forecasting

INTRODUCTION

Forecasts of companies' financial statements are used by analysts in valuation and to make investment recommendations. Developing the forecasts or projections is an important aspect of an analyst's job and is the focus of this module. In the first lesson, what to forecast, approaches to forecasting, and selecting a forecast horizon are discussed. The next three lessons focus on particular forecasts: revenues, operating expenses and working capital, and capital investments and capital structure. The final lesson discusses the use of scenario analysis in considering multiple outcomes.

Learning Module Overview

- Four common types of forecast objects are drivers of financial statement lines, individual financial statement lines, summary measures, and ad hoc objects. An analyst's choice of forecast object depends on available information, efficiency, accuracy, explanatory value, and verifiability.
- Forecast approaches generally are based on historical results, historical base rates and convergence, management guidance, or analyst discretion. An analyst's choice of forecast approach depends on the company's industry structure, sensitivity to the business cycle, and business model, as well as the reliability and availability of information.
- The choice of the forecast time horizon is determined by the investment strategy for which the security is being considered, the cyclicality of the industry, company-specific factors, and the analyst's employer's preferences.
- Revenue forecasts may be based on top-down or bottom-up forecast objects, using any of the four forecast approaches. Using different forecast objects and approaches to project revenue can be useful in uncovering implicit assumptions or errors in any single approach.
- Top-down revenue drivers include growth relative to GDP growth, and market growth and market share. Bottom-up revenue drivers include volumes and average selling prices; revenue by product line, geographic area, or reporting segment; capacity-based measures; and return-based measures.
- Analysts often use aggregated forecast objects or summary measures to forecast operating expenses because of a lack of disaggregated information. However, forecasts for operating expenses should be coherent with revenue forecasts. The choice of forecast object can vary depending on the forecast horizon.
- Working capital forecasts typically use efficiency ratios combined with revenue and operating expense forecasts to project accounts receivable, inventory, accounts payable, and other current assets and liabilities.
- Forecasts for capital expenditures may differentiate between maintenance and growth capital expenditures. Maintenance capital expenditure forecasts are often based on depreciation and amortization expenses. Growth capital expenditure forecasts are tied to a company's strategy, expansion plans, and revenue growth.
- Forecasts about a company's capital structure consider historical leverage ratios and capital structure, the company's financial strategy, and capital expenditure forecasts.
- Based on a company's risk factors, an analyst may develop several forecast scenarios rather than develop a single forecast. The analyst will judge the likelihood

Learning Module Self-Assessment

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These initial questions are intended to help you gauge your current level of understanding of this learning module.

1. A benefit of using summary measures as forecast objects is *most likely*:

A. efficiency.
B. transparency.
C. explanatory value.

Hide Solution

Solution:

A is correct. The benefit of using summary measures as a forecast object is efficiency, as fewer variables need to be forecast, but a disadvantage is less transparency. Forecasting financial statement lines or their drivers has the benefit of improved explanatory value.

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2. Which of the following approaches is *most* appropriate for forecasting annual revenues for a company in a cyclical industry?

A. Historical results
B. Management guidance
C. Analyst's discretionary forecast

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Solution:

C is correct. An analyst's discretionary forecast is most appropriate, because it allows the analyst to consider both the current phase and the expected future phase of the business cycle. Historical results are a less appropriate forecast approach for companies in cyclical industries, because a future period is likely to be at a different point in the business cycle than the current or past period, and so results will differ. The use of guidance for companies that are highly sensitive to the business cycle is less appropriate, as management does *not* have an informational advantage over investors in forecasting macroeconomic variables like GDP or the prices of commodities.

3. An example of a top-down driver for revenue is a company's:

A. market share.
B. sales growth rate.
C. products' average selling price.

Hide Solution

Solution:

A is correct. Top-down drivers of revenue include the company's market share and the industry's market growth. The company's sales growth rate and products' average selling price are bottom-up drivers of revenue.

4. In developing a revenue forecast, non-recurring revenue *most likely*:

A. has the same drivers as recurring revenue.
B. will be disclosed by a company's management.
C. is considered separately from recurring revenue.

Hide Solution

Solution:

While management may disclose some non-recurring items and effects, there are also non-recurring items and effects that management does not disclose, which require analyst judgment.

5. An analyst should consider the effects of changing commodity prices when forecasting:

A. revenue only.
B. cost of sales only.
C. both revenue and cost of sales.

Hide Solution

Solution:

C is correct. Both a company's cost of sales through input prices and its revenue may be affected by commodity prices. The effect on revenue depends on the company's competitive positioning and the price elasticity of demand for the company's products.

6. Working capital forecasts for a mature company with a unique business model are *most likely* made by:

A. increasing the current assets and liabilities by the sales growth rate.
B. using the company's efficiency ratios combined with sales and operating forecasts.
C. using a historical base rate and convergence approach to develop forecasts of revenue, operating expenses, and efficiency ratios.

Hide Solution

Solution:

B is correct. For a company with a unique business model, using a historical results approach is appropriate. Working capital forecasts are typically made by using efficiency ratios, which are combined with sales and operating cost forecasts to project accounts receivable, inventories, accounts payable, and other current assets and liabilities. The historical base rate and convergence approach is appropriate if the company is converging toward the norm for the industry. Adjusting current assets and liabilities by the sales growth rate is not appropriate, because changes in sales will affect each item differently.

7. Depreciation and amortization expenses are often used as the basis for:

A. growth capital expenditures only.
B. maintenance capital expenditures only.
C. both growth and maintenance capital expenditures.

Hide Solution

Solution:

B is correct. Maintenance capital expenditure forecasts are often based on depreciation and amortization expenses. Growth capital expenditure forecasts are more discretionary and are tied to management's expansion plans and revenue growth.

8. Which of the following generic risk factors is *most likely* to affect an established company in the consumer staples sector?

A. Inflation or deflation
B. Technological developments
C. Changes in the business cycle

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deflation is the one most likely to affect an established company in the consumer staples sector. The consumer staples sector is not likely to experience significant technological developments and is generally not sensitive to changes in the business cycle.

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